NAVIGATING THE REGULATORY STATE

FALL 2020 FINAL EXAM

Professor William B. Petersen

Twelve (12) Hours

Open Book

Examination Instructions

This is an open book examination. You may use your textbook, the additional reading materials that you have been assigned so far during the term, and your notes. You should not use the internet as a source of information during the exam. You should use your computer and must activate the Law School's exam software.

There are three exam questions. Please answer all questions, INCLUDING ALL SUBPARTS.

You have twelve (12) hours to complete the examination.

Good luck.

WBP

Question 1:

In *Department of Homeland Security v. Regents of Univ. of Cal.,* Chief Justice Roberts observed that "an agency must defend its actions based on the reasons it gave when it acted."

(a) What is the concern that caused the Chief Justice to make this observation?

PRECIS: As Chief Justice Roberts noted in his opinion, "[i]t is a 'foundational principle of administrative law' that judicial review of agency action is limited to 'the grounds that the agency invoked when it took the action.'" As a general rule, agencies cannot justify their actions through a post hoc explanation. An agency may "elaborate later" on the reasons for its action "but may not provide new ones." This is particularly a problem when the justification for agency action is offered for the first time by the agency's lawyers at oral argument.

(b) What are the circumstances under which an agency may change its mind?

PRECIS: In *State Farm,* the Court acknowledged that an agency may change its mind, but that when the agency does change its mind, it must supply a "reasoned analysis" for the change. In *State Farm*, the agency had failed to provide the explanation needed to support its policy change and it was this failing (the why it changed its mind) and not the change in policy that is what the Court found problematic.

(c) Does it matter how an agency changes its mind?

PRECIS: Yes, how an agency changes its mind makes all the difference. An agency's decision cannot be arbitrary and capricious. In *State Farm,* the Court held that an agency must "articulate a satisfactory explanation for its action," including "a rational connection between the facts found and the choice made." In *Fox,* the court made it clear that while an agency may change its mind, it cannot do so (1) silently; (2) by disregarding rules still on the books; or (3) without showing that there are good reasons for the policy change. A strong answer would also have discussed *Perez*, in which the Court explained when an agency may adopt a new interpretation that deviates significantly from one the agency had previously adopted and did so by elucidating the distinction between legislative and interpretative rules.

(d) Can an agency change its mind based on political considerations?

PRECIS: If an agency were to change its mind for political considerations alone, without any other explanation for the change, this decision would not likely qualify as the kind of "reasoned decision-making" required under *State Farm.* In *Fox,* a majority of the court found that there is no requirement that an agency's change of policy should be subjected to a more searching review; instead, the agency must

provide a "reasoned analysis for the change beyond that which may be required when an agency does not act in the first place." According to a majority of the Court, this is consistent with *State Farm's* holding that a more detailed explanation is required when there is a change in policy that rests upon factual findings that contradict those upon which the prior policy rested. This is particularly true when a change in policy creates reliance issues. But the Court did not hold that when an agency changes its mind it must offer a compelling explanation as to why the new policy is better than the old policy. Justice Breyer, in his dissent, went further and emphasized that while an agency may change its policies, such a change "does not permit" the agency "to make policy choices for purely political reasons nor to rest them primarily upon unexplained policy preferences." This question also gave you an opportunity to discuss *King v. Burwell*.

When answering these questions, please refer to any cases that you think might be relevant.

Question Two:

You are a law clerk for a new federal judge, Dora Bellbird. The first case you work on with the judge is an appeal from a decision of a federal agency. The appeal revolves around the question of whether there was adequate evidence to support the agency's conclusion. Judge Bellbird says to you, "I just read the briefs in that agency case. It doesn't seem to be a close case at all. The agency's decision had to be supported by substantial evidence and while there was some evidence supporting that decision, it was hardly 'substantial.' Do you know why I know that? I looked up the word in the dictionary and it means 'considerable in quantity.' While there was some evidence, that evidence was not considerable in quantity and so is hardly substantial. For this reason, I think the agency's decision must be reversed."

(A) What do you tell Judge Bellbird?

PRECIS: You think to yourself (but you don't say) that Judge Bellbird should have looked at *Universal Camera* and not a dictionary. Justice Frankfurter defined "substantial evidence" as "more than a mere scintilla. It means such relevant evidence as a reasonable mind might accept as adequate to support a conclusion." In *Allentown Mack*, Justice Scalia wrote that the substantial evidence standard is satisfied when the record before the agency would allow a reasonable jury to reach the agency's conclusion. You tell Judge Bellbird that you will look at the record to see whether it is adequate to support the agency's conclusion and you diplomatically suggest that it doesn't have to be overwhelming evidence, as Judge Bellbird thinks, but rather adequate evidence. As Justice Kagan pointed out in *Biestek*, "whatever the meaning of 'substantial' in other contexts, the threshold for such evidentiary sufficiency is not high."

Given your excellent work for her, a few weeks later Judge Bellbird approaches you with a wonderful opportunity. She wants you to be her co-author of a law review article that will focus on her judicial philosophy. She is an admirer of Eleanor Roosevelt and says to you, "one of the wisest things that very wise woman every said was about her husband FDR. She said that 'the president doesn't think; he decides.' I think the same thing should be true for federal judges. We spend too much time handwringing, too much time intellectualizing, too much time deferring to agencies, and too much time finding ways to avoid reviewing agency action. FDR would be shocked to see how much unreviewable power these agencies now have."

Judge Bellbird continues, "the law review article that you are going to help me write will be a call to action. I am thinking of the title, 'The Duty to Decide,' and in it we are going to make it clear that a federal judge has a legal duty to always review agency action; there is never a time when an agency's action is beyond the review of a federal court. That will be the article's central point. What do you think about my idea?"

(B) What do you tell Judge Bellbird?

PRECIS: Judge Bellbird is generally correct that a court should review agency action, but her statement that there "is never a time when an agency's action is beyond the review of a federal court" is far too sweeping.

As Chief Justice Roberts pointed out in *Department of Homeland Security*, while the APA establishes a "basic presumption of judicial review" of agency action, there are certain times when agency action is committed to agency discretion by law. This exception to the presumption that agency action is subject to judicial review is quite narrow.

Congress may preclude judicial review by statute. In addition, an agency may decline to take action; an agency's refusal to "prosecute or enforce" is generally committed to an agency's absolute discretion. This was the case in *Heckler*. As the Court explained, there are good reasons to grant to an agency absolute discretion to prosecute or enforce: an agency does not have unlimited resources, it is in the best position to evaluate whether it is likely to succeed, and it alone can best decide whether a particular enforcement action fits in the agency's overall policies. Moreover, in *Heckler* the Court pointed out that an agency's failure to act "does not infringe on an individual's liberty or property rights, which are the areas upon which courts are usually called to protect."

While Justice Brennan and Justice Marshall concurred in the result, they wrote separate opinions: Justice Brennan emphasized the narrowness of the exception in his concurrence listed the areas the Court did not find unreviewable and Justice Marshall emphasized that the case was a "relic of a particular factual setting." Justice Marshall emphasized that it was a mistake to compare agency inaction to prosecutorial discretion, and listed situations in which agency inaction could be extremely problematic, which is why he did not think drawing a larger conclusion from the facts of the case was appropriate.

Question Three:

In *Arlington v. FCC* – a case we did NOT read – the Court observed that "*Chevron* is rooted in a background presumption of congressional intent."

(A) Please explain what the Court meant.

PRECIS: This question gave you an opportunity to demonstrate your understanding of *Chevron*, which holds that the stringency of judicial review depends on the extent to which Congress has delegated a particular policy decision to the agency. The scope of this delegation is determined by whether Congress has spoken clearly on the issue. Under the case's two step analysis, if Congress has spoken clearly on the policy issue, "that is the end of the matter" and an agency's interpretation is not accorded deference. A court will determine whether the agency has followed the direction of Congress. If, on the other hand, Congress has not spoken clearly on the matter but has left a "gap" for the agency to fill, a reviewing court's review is very different: The reviewing court determines only whether the agency's interpretation was "reasonable," not whether it was correct or even whether it was the interpretation that the court itself might have adopted.

Chief Justice Roberts, in his dissent in the case, noted that "*Chevron* is a powerful weapon in an agency's regulatory arsenal."

(B) Please explain what Chief Justice Roberts meant.

PRECIS: The answer to this question should be obvious as you explained *Chevron*. As we discussed in class, an agency would much rather be judged on whether its interpretation of a statute is "reasonable" rather than whether it is correct. *Chevron* deference, when applicable, prevents a reviewing court from imposing its interpretation on an agency. Instead, a court merely determines whether the agency's interpretation was reasonable – a much lower bar for the agency to clear. *Chevron* deference therefore gives an agency great power, since any reasonable interpretation is shielded from a court's own interpretation of a statute.

The issue in *Arlington* was "whether a court must defer under *Chevron* to an agency's interpretation of a statutory ambiguity that concerns the scope of the agency's statutory authority (that is, its jurisdiction)."

Justice Scalia, writing for the majority, rejected the argument that "there exist two distinct classes of agency interpretations" – one for jurisdiction (the power and authority to decide) and one for all other interpretations – and stated that "the distinction between 'jurisdictional' and 'non-jurisdictional' interpretation is a mirage."

In his dissent, Chief Justice Roberts asserted "[a] court should not defer to an agency until the court decides, on its own, that the agency is entitled to deference . . . . An agency cannot exercise interpretative authority until it has it; the question whether an agency enjoys that authority must be decided by a court, without deference to an agency."

(C) Do you agree with Justice Scalia or Chief Justice Roberts? Why?

PRECIS: With this question I was looking to see how you would apply *Chevron* to a specific factual pattern. The question raised is a very interesting one: Is an agency's determination as to whether Congress has authorized the agency itself to act entitled to deference or is it a preliminary question the court should decide itself? There is no correct answer. Instead, I evaluated your answer on how well you explained the way *Chevron* worked and then how persuasively you argued your position on the question presented.

(D) Does a court always owe deference to an agency?

PRECIS: No, it does not. There are cases in which an agency is not entitled to deference. A good answer explained step one of *Chevron*, both through a discussion of *Chevron* and *MCI*, as well as a discussion of *FDA v. Brown & Williamson Corp.* In addition, you could have discussed *Auer,* in which the court held that Chevron deference also applies to agency interpretations of their own regulations, and *Kisor*, which, while not overruling Auer, did "reinforce" the limits of *Auer*.

(E) Is the deference a court owes to an agency always the same?

PRECIS: No, it does not. This question allowed you to explain the holdings of *Chevron*, *Skidmore*, *Mead*, and *Barnhardt v. Walton* and how these cases fit together to establish the degree of deference to which an agency's interpretation is entitled.